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More on Kulkarni hypothesis

1 message

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Here is more from Nigeria experience

Evidence for the Kulkarni Hypothesis in developing countries is mixed but clearly present in several cases, especially where there are repeated depreciations and structural rigidities.

Core empirical findings

A cross-country study on transitional and developing economies (Czech Republic, Estonia, Morocco, Kenya) finds “some degree of support” for both the J-curve and Kulkarni hypotheses, with persistent trade deficits following devaluations rather than strong long-run improvements.

For Ghana, a detailed time-series study testing the Marshall–Lerner condition, J-curve, and Kulkarni Hypothesis reports “dynamic and persistent” trade deficits associated with successive depreciations, and explicitly concludes that the Kulkarni Hypothesis applies to Ghana, especially when depreciations occur in “tranquil” (moderate) regimes.

Earlier work by Kulkarni extends J-curve analysis by documenting cases where multiple devaluations in developing countries fail to restore trade balance, leading to the formal statement of the hypothesis as persistent balance-of-trade deficits after repeated devaluations.

Conditions where it holds

Low export and import demand elasticities (limited quantity response to relative price changes).

Structural issues such as narrow export bases, import dependence for capital and intermediate goods, and weak supply response in tradables.

Episodes of repeated or large depreciations without complementary fiscal, monetary, and structural reforms, which can worsen the domestic cost structure and debt burden.

Illustration: Ghana

Ghana has experienced decades of trade deficits alongside a continuously depreciating currency, providing a natural test case.

Empirical results show series of short-run J-curves after each depreciation but also long-run persistence of deficits, matching the Kulkarni pattern of “series of J-curves” rather than a single depreciation that restores equilibrium.

Policy implications for developing countries

Exchange-rate devaluation alone is not sufficient to correct external imbalances; without structural reforms, it may entrench deficits, consistent with the Kulkarni Hypothesis.

Policymakers in developing countries are advised to pair any depreciation with measures that raise export capacity, reduce import dependence, and stabilize inflation, rather than relying on repeated devaluations as a standalone tool.

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